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China Internet & New Media

EQUITY: INTERNET & NEW MEDIA

Expert insights across the internet economy

Comprehensive insights from 10 experts from OTA, ecommerce and generative AI industries

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The Nomura's China internet team hosted its mid-2026 China Internet Insight expert call series recently. A total of 10 industry experts were invited to share their insights on various verticals including local services, AI music, China ecommerce, cross-border ecommerce, travel, LLM (large language model), online healthcare, short-drama and AI animation industries. We provide below the key highlights from these calls. Please refer to the link provided under each key highlight for detailed insights from each of the experts.

Douyin's local services business aims to break-even at some point in 2H26E, according to expert

According to the expert, Douyin's local services (LS) segment continued to grow at a robust pace in 1H26, generating a gross transaction value before refunds/cancellations (gross GTV) of ~CNY551bn (+44% y-y). This compares to our projected GTV of CNY629bn (+11% y-y) for Meituan's (3690 HK, Buy) in-store segment during the same period. However, the expert noted that the redemption rate for Douyin's LS hovered around ~57-58% in 1H26, while that for Meituan was likely much higher at above 80% based on our estimates. Consequently, the gap in net GTV is likely wider than the gross GTV suggests. The expert believed Meituan demonstrates a more mature and refined operational framework compared to Douyin in the local services sector. Meituan's operational advantage is primarily driven by highly personalized subsidy design, advanced membership operations and superior cross-scenario transaction conversion.

According to the expert, the category mix of Douyin' LS is evolving: the hotel and travel segment has emerged as a primary growth driver backed by a robust hotel booking business, whereas in-store dining and shopping have been more heavily impacted by macro headwinds. The strategic focus of Douyin's LS business appears to be shifting from pure GTV expansion toward enhanced monetization and profitability, with the platform likely aiming to reach break-even at some point in 2H26E, according to the expert. To this end, the expert highlighted Douyin's efforts to enhance profitability, which includes the stricter collection of commissions across all categories this year, reflecting a clear prioritisation of monetization over aggressive scale expansion.

Takeaways from Douyin local services expert call

Moonshot AI expert: closed source LLM is the way to go for LLM monetization at scale

Moonshot AI's (unlisted; a leading Chinese generative AI startup) annualized recurring revenue (ARR) is projected to surpass USD1bn by year-end, driven primarily by overseas API usage and robust AI coding capabilities, according to the expert. Beyond AI coding, the expert believes that the next growth frontiers will be AI solutions for healthcare, education, and finance industries, where high-quality proprietary data will be a critical differentiator aside from specialised AI capabilities. To protect margins and improve monetization, Moonshot is shifting toward a closed-source strategy for its flagship models, while utilizing domestic chips to lower inference costs. While experts suggest pure-play AI labs like Moonshot could outcompete large internet platforms by maintaining pure focus, we continue to believe that major internet platforms such as Alibaba (BABA US, Buy) and ByteDance (unlisted) remain formidable competitors due to their vast capital, data ecosystems, and strategic need to own state-of-the-art (SOTA) LLMs (large language models).

Takeaways from Moonshot AI expert call

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LLM expert: open source is not an open playbook

The expert noted that persistent supply tightness and price inflation for high-end Nvidia (NVDA US, Not rated) chips are making domestic AI accelerators increasingly attractive. While Chinese model providers are broadly reducing token prices, the expert highlighted a clear bifurcation between basic and advanced models. Providers are aggressively cutting prices for basic models – which process commoditized tasks – to acquire customers, while maintaining premium pricing for their advanced models. The expert thinks that model providers can enhance enterprise customer loyalty by embedding their models deeply into corporate workflows. This integration makes switching models highly time-consuming and financially burdensome, effectively deterring customer churn.

The expert believes DeepSeek (unlisted) possesses a distinct cost advantage driven by superior operational efficiency during inference workloads. This efficiency is highly difficult for other platforms hosting the same open-source DeepSeek model to replicate. The expert views financial services, office productivity, coding, manufacturing, legal, and healthcare as the most likely primary adopters of large language models (LLMs). Consequently, these sectors are expected to be the core future revenue contributors for LLM providers, according to the expert.

Takeaways from an LLM expert call

Soda Music: resorting to AI music for market share gains

Soda Music, a music-streaming platform owned by ByteDance (unlisted), has reached approximately 50mn DAU and 150mn MAU as of May 2026, with DAU expected to hit ~60mn by year-end, representing ~50% y-y growth versus nearly 100% in 2025, according to the expert. The expert believes this slowdown reflects diminishing marginal returns from Douyin's traffic diversion as the convertible user pool almost approaches saturation. The expert noted that the average daily user time spent has declined to ~50 minutes from a peak of 60-70 minutes due to user base dilution and competition from short dramas and novels. The platform competes internally with Tomato Music, though demographics differ: Soda music targeting younger and more male audience vs Tomato's older, female-oriented demographic. The expert doesn't expect any near-term merger plan of these two platforms.

According to the expert, Soda Music's revenue will likely grow by 30% in FY26E, mainly driven by growth in ads, which comprises ~70% ads and ~30% subscriptions – diverging from Tencent Music's (TME US, Buy) subscription-heavy model. As per the expert, Soda Music mandates break-even operations, limiting copyright spend and exclusive content acquisition. Despite fewer copyright coverage compared to its peers, i.e. TME and NetEase Cloud Music (9899 HK, Not rated), the expert believes Soda Music may have an advantage in AI music development given ByteDance's substantial AI investments, proximity to internal AI teams, and Douyin's vast data ecosystem enabling superior user preference understanding and trend discovery.

Although the infringement concerns surrounding AI-generated remixes have gained the attention of industry participants, the expert thinks it's difficult to defer the proliferation of AI-generated remixes in a cat-and-mouse dynamic. Regarding offline concerts and fan economy businesses, the expert indicated Soda Music is unlikely to pursue resource-intensive initiatives including large-scale idol concerts and K-pop-style fan events. Instead, it will continue executing small-scale, sponsor-funded offline activities (tier-3/4 city music festivals, campus events) as cost-effective user acquisition channels.

Takeaways from Soda Music expert call

Douyin ecommerce is balancing scale growth and profitability

Douyin's 618 Gross Merchandise Volume (GMV) growth in 2026 missed internal targets (~19% y-y vs the expected 24%–25%) amid a broader ecommerce sector slowdown caused by weakening consumption and a diminishing contribution from trade-in subsidies. As a rank-and-file operations manager, the expert believes Douyin ecommerce is executing a strategic pivot away from aggressive top-line expansion toward a balanced growth model, prioritizing profitability to fund its AI infrastructure and LLM (e.g., Volcano Engine and Doubao). Hence, the expert thinks a realistic FY26 GMV growth target should be 15%-16% y-y (vs. FY25's 29% y-y), vs the 19% target set in the beginning of the year.

The expert also indicated that the cooperation between Doubao and Douyin ecommerce, i.e. agentic commerce, is still in an early stage. That said, the expert views this as one of the most important strategic initiatives for next year. The current focus is not on near-term GMV contribution, but rather product iteration, data integration, supply-chain integration, and product-catalogue understanding. Doubao needs to process and comprehend a massive product library before it can serve as an effective AI shopping assistant, according to the expert.

Takeaways from Douyin ecommerce expert call

Air travel expert: declining volumes and tightening regulations create headwinds for the air ticketing industry

According to the expert, the total air passenger volume carried by Chinese airlines reached 375mn passenger trips in 1H26, up 1% y-y. However, the growth trajectory was highly uneven. While 1Q26 recorded average volume growth of approximately 7% y-y, 2Q26 witnessed a meaningful decline of 4-5% y-y. This contraction was primarily driven by surging fuel prices stemming from geopolitical conflicts in the Middle East.

Looking ahead to the summer peak travel season (July and August), the expert struck a cautious tone, projecting a 4% y-y drop in air traveler volumes. Although fuel surcharges have begun to decline and the aviation authority initiating reductions in June, they remain elevated on a y-y basis.

Additionally, a tightening regulatory environment—spearheaded by major airlines altering their commission and distribution policies—is currently pressuring the air ticketing revenues of OTAs (online travel agencies).

Takeaways from air travel expert call

TikTok shop logistics expert: positive cross-read for J&T

The expert noted that TTS's e-commerce growth remains robust, with 1H26 GMV reaching ~USD35bn. Southeast Asia and the US remain the key contributors, with growth around doubling in 1H26. For J&T (1519 HK, Buy), the near-term outlook remains supported by its deep integration with TTS. J&T continues to handle a very high share of TTS parcels across most Southeast Asian markets thanks to its strong fulfillment capability, broad network coverage and cost advantages, according to the expert. In Indonesia, regulatory scrutiny may push TTS to onboard more regional logistics providers, but the expert believes that any near-term share loss risk for J&T is likely to be manageable given its scale, service quality and cost competitiveness compared to potential onboarding regional players. Besides, an asset-light third-party logistics and local warehouse ecosystem remains more suitable for TTS in SEA than a capital-intensive FBT-style model, especially given a relatively low AOV in this region, according to the expert.

Takeaways from TikTok shop logistics expert call

AI-produced drama expert: the shortcomings of AI on full display in the short drama business

Hongguo initially built its business exclusively on live-action short dramas featuring human actors. Since last year, however, the platform has stepped up incentives for AI-generated dramas given the advance of AI tools and the cost advantage of AI-generated contents. By leveraging both the live-action and AI-generated drama growth, according to the expert, Hongguo's apps have maintained strong user growth momentum with its flagship short-drama app reaching 120mn DAU and 330mn MAU and its standalone animated drama app reaching 16.5mn DAU and 40mn MAU in June 2026. Meanwhile, as per the expert, in the commercialization side, on top of CNY15bn ecommerce GMV generated on Hongguo platforms, Hongguo's core revenue increased by ~87% y-y to CNY20bn, with advertising contributing ~97%. The expert expects full-year core revenue to reach CNY42-45bn, implying doubling y-y.

However, Hongguo is becoming more cautious about AI-generated content. The expert noted the side effects of such AI-generated content have also emerged, including inferior quality content, shorter popularity span and weaker emotional resonance with viewers, which may lead to weakening user retention, shortening user time spent and thus diluting the platform's advertising value, particularly for brand advertisers. Thus, according to the expert, AI-generated content currently accounts for less than 30% of total viewership, and Hongguo is now using recommendation weights, revenue -sharing adjustments and stricter content reviews to cap its share below that level.

Overall, the expert indicated that AI-generated dramas remain positive for user acquisition, content supply and production efficiency, but Hongguo is unlikely to pursue AI growth at any cost. Hongguo appears to be prioritizing ecosystem health, and sustainable advertising monetization, according to the expert. On a separate note, Hongguo's decision to rein in the growth of AI-generated content may impact the commercialization of video-generation AI tools like Seedance, as animation studios are likely a key customer base for such AI tools, in our view.

Takeaways from a short drama platform expert call

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
J&T Express	1519 HK	HKD 9.15	14-Jul-2026	Buy	N/A	
Meituan	3690 HK	HKD 79.20	14-Jul-2026	Buy	N/A	A10
Alibaba Group Holding	BABA US	USD 112.35	13-Jul-2026	Buy	N/A	A10
Tencent Music Entertainment Group	TME US	USD 8.83	13-Jul-2026	Buy	N/A	

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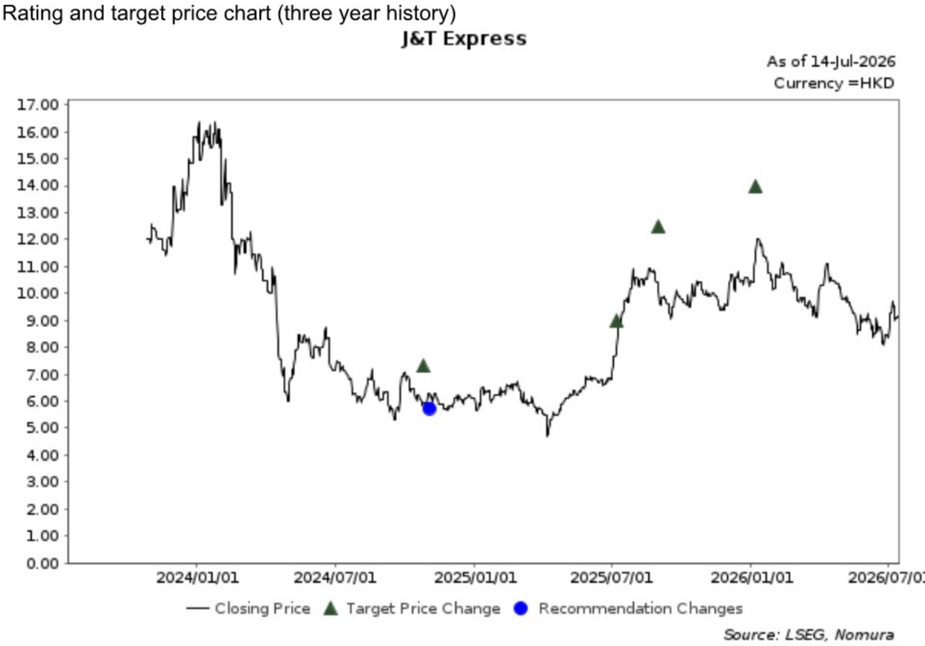
J&T Express (1519 HK) **HKD 9.15 (14-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



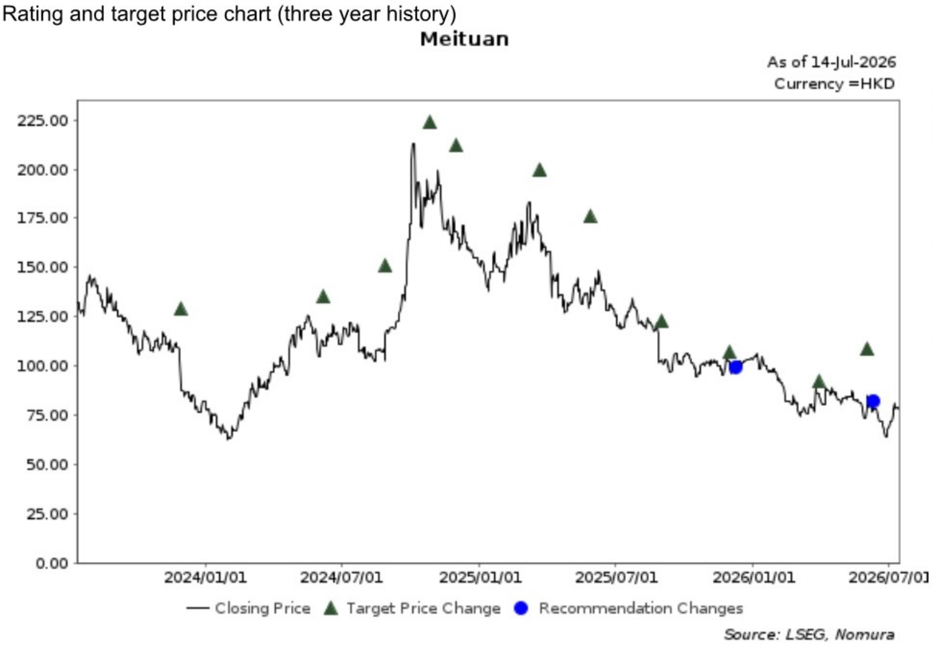
Date	Rating	Target price	Closing price
07-Jan-26		14.00	11.58
01-Sep-25		12.50	10.09
08-Jul-25		9.00	8.01
25-Oct-24	Buy		5.97
25-Oct-24		7.30	5.97

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We use EV/EBIT as our primary valuation methodology to derive our TP of HKD14, based on 18x FY26F EV/EBIT. The benchmark index for this stock is Hang Seng Index.
Risks that may impede the achievement of the target price Downside risks: 1) intensifying market competition, 2) slower-than-expected parcel volume growth; 3) weaker-than-expected cost optimization; 4) country-specific regulatory risks

Meituan (3690 HK) **HKD 79.20 (14-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



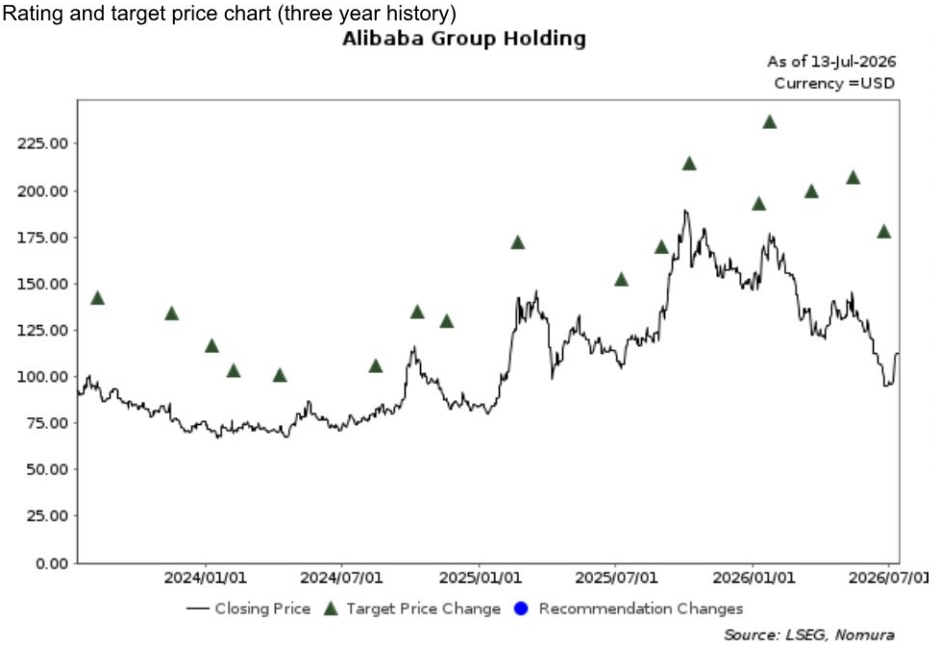
Date	Rating	Target price	Closing price
02-Jun-26	Buy		85.50
02-Jun-26		109.00	85.50
29-Mar-26		92.00	85.90
30-Nov-25	Neutral		102.50
30-Nov-25		107.00	102.50
01-Sep-25		123.00	103.00
28-May-25		176.00	131.40
23-Mar-25		200.00	167.60
01-Dec-24		212.00	168.70
27-Oct-24		224.00	184.90
29-Aug-24		151.00	115.70
07-Jun-24		135.00	110.40
29-Nov-23		129.00	90.45

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value the food delivery business at USD16bn based on 7x FY28F P/E and discounted to FY26. We value the instashopping business at USD5bn based on 15x FY27F P/E and discounted to FY26. We value the in-store, hotel and travel business at USD21bn based on 8x FY27F P/E and discounted to FY26. We value the new business at USD28bn, based on 1.5x FY26F P/S. The resulting TP is HKD109. The benchmark index for the stock is the Hang Seng Index.
Risks that may impede the achievement of the target price Downside risks include: (1) intensifying competition in the food delivery or in-store consumption verticals; and (2) worse-than-expected performance in the new initiatives.

Alibaba Group Holding (BABA US) **USD 112.35 (13-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



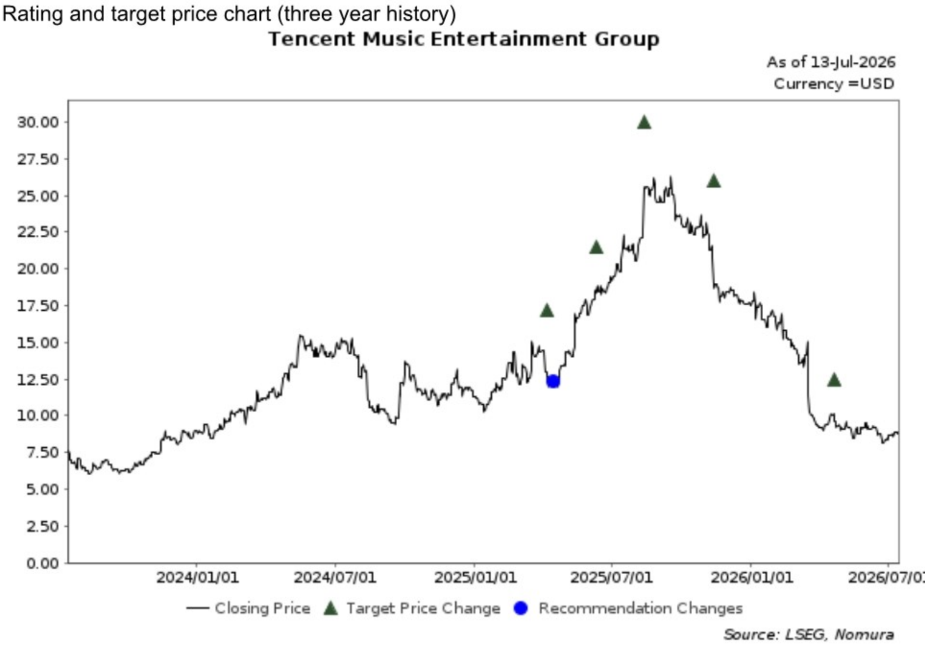
Date	Rating	Target price	Closing price
24-Jun-26		178.00	99.80
14-May-26		207.00	141.12
20-Mar-26		200.00	122.41
23-Jan-26		237.00	173.23
09-Jan-26		193.00	150.96
08-Oct-25		215.00	181.12
01-Sep-25		170.00	135.00
09-Jul-25		152.00	103.83
21-Feb-25		172.00	142.62
18-Nov-24		130.00	88.65
10-Oct-24		135.00	108.42
16-Aug-24		106.00	82.52
09-Apr-24		101.00	71.80
08-Feb-24		103.00	69.63
10-Jan-24		117.00	70.25
17-Nov-23		134.00	76.34
11-Aug-23		142.00	94.16

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Alibaba's China Ecommerce Group at USD89bn, based on 5x FY27F P/E; its AliCloud business at USD270bn, based on 7x FY28F P/S; and its net valuation of non-core assets (including international ecommerce business) at USD40bn. The resulting TP is USD178. The benchmark index for this stock is Nasdaq Composite.
Risks that may impede the achievement of the target price Downside risks include: margin downside due to ramp-up in investments; regulatory risks related to the payment and internet finance industry, which could hurt Alibaba's main business and its value in Ant Group.

Tencent Music Entertainment Group (TME US) **USD 8.83 (13-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
21-Apr-26		12.50	9.62
13-Nov-25		26.00	18.68
13-Aug-25		30.00	25.60
11-Jun-25		21.50	18.58
07-Apr-25	Buy		12.75
07-Apr-25		17.20	12.75

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value TME's online music subscription business at USD4.7bn (FY26F P/E of 6x), non-subscription music business at USD8.7bn (20x FY26F P/E), and social entertainment business at USD804mn (FY26F P/E of 3x). The resulting TP is USD12.50. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risk: higher-than-expected churn of user time spent on online music; the lower-than-expected growth of paying users for online music services; the lower-than-expected penetration of higher-priced SVIP among users; and the further tightening of regulations on TME's monetization initiatives such as advertising and livestreaming

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